
PREFACE



Our paradigms, more than mere market forces, govern the financial decisions we make. This implies that not only do we need basic knowledge of how **Money** grows, we also need to forego instant gratification and live the universal principles of austerity and hard work, all of which form the basis of achieving financial freedom.

Investing is putting money to work and (unlike gambling) is governed by the universal law of the farm: what you sow today cannot be reaped immediately tomorrow. This book explains what real investing is and the investing strategies one may adopt. Today, 'equities' is the preferred asset class due to its inherent tax efficient character. Hence we focus on equity investments in to the stock markets. **Stock Markets**: why are they so interesting? Why are they so unpredictable? Why are we unable to understand how they behave? Stock market volatility reflects the behaviour of its participants, that is, the investors. Investors react differently when they become a part of the herd. We try to understand this human behaviour and become aware of certain behavioural anomalies that distort our thinking and make us take decisions that are against our financial interest. Understanding **Behavioural Finance** and how it affects markets is the key to a successful investment strategy. Wearing the cloak of patience, eschewing greed and conquering fear, form the basis of these strategies, but behavioural finance goes beyond commonly known principles, and helps us understand the intricate mechanisms of the smartest individual's reflexive, and yet doomed responses, to the Capital Market.

I am neither an economist nor an academician. I am an investor, a stockbroker, a financial planner and a money manager. My knowledge is due to formal education in the field of behavioural finance from the course "Investment Decisions and Behavioural Finance" at the Kennedy School of Government,